

Australian SME Business Valuation Multiple Guide

The following table provides an indicative range of earnings multiples based on the level of maintainable earnings generated by a business. As a general principle, businesses with higher maintainable earnings tend to attract higher valuation multiples due to their greater scale, financial resilience, management capacity and attractiveness to a broader pool of strategic and institutional buyers.

The ranges are intended to provide a baseline multiple before considering industry-specific characteristics and individual business risk factors. The appropriate multiple should subsequently be adjusted having regard to factors such as industry, recurring revenue, growth, earnings consistency, customer concentration, management structure, Seller involvement, working capital requirements and overall transferability of the business.

For smaller owner-operated businesses, maintainable earnings may be assessed using Seller's Discretionary Earnings (SDE) or Proprietor's Earnings Before Interest, Tax, Depreciation and Amortisation (PEBITDA), with a lower multiple generally applied to reflect the smaller scale and greater reliance on the owner. As businesses increase in scale and operate under an appropriate management structure, maintainable EBITDA generally becomes the more relevant valuation measure.

Maintainable earnings	Low	Common	High
Up to \$250k	0.8x	1.3x	2.2x
\$250k - \$500k	1.0x	1.6x	2.7x
\$500k - \$1m	1.5x	2.2x	3.1x
\$1m - \$2m	2.5x	3.25x	4.2x
\$2m - \$5m	3.0x	4.0x	5.0x
\$5m - \$10m+	4.0x	4.5x–5.0x	6.0x+

The level of dependence a business has on its owner is an important consideration when assessing both maintainable earnings and the appropriate valuation multiple. Generally, the less reliant a business is on the Seller for its day-to-day operations, customer relationships, technical expertise and decision-making, the greater its transferability and attractiveness to prospective purchasers.

Where a Seller is actively involved in the business on a full-time basis, their remuneration cannot simply be added back in full when calculating maintainable EBITDA, as the functions performed by the Seller represent a necessary ongoing cost to the business. The Seller's actual remuneration may be replaced with an appropriate market-based salary reflecting the cost of employing a suitably qualified person to perform the same role.

Care should be taken when determining this replacement salary. Sellers and brokers can sometimes adopt an unrealistically low management allowance in order to increase maintainable EBITDA and, consequently, the indicated valuation. Any replacement salary should be commercially realistic and consistent with Australian market

remuneration for a full-time manager or executive with the skills, responsibilities and experience required to effectively operate a business of comparable size and complexity.

Owner dependence should also be considered separately when determining the appropriate valuation multiple. A business that remains heavily dependent on the Seller may be more difficult to transfer and sell and may therefore warrant a lower multiple, even after an appropriate replacement salary has been allowed for in maintainable EBITDA. Conversely, a business operating successfully under an established management structure with limited Seller involvement may justify a higher multiple due to its greater transferability and reduced key-person risk.

The following table provides further guidance on the potential impact of Seller involvement and owner dependence on valuation multiples. These adjustments should be considered in parallel with the appropriate treatment of the Seller's salary in maintainable EBITDA and should not be used as a replacement for a reasonable management or replacement salary allowance.

Seller / Management Structure	Indicative Effect	Treatment
Fully managed	+0.5x to +1.0x	Strong premium if management is proven and staying
Seller <10 hrs/week	+0.25x to +0.5x	Limited key-person risk
Seller 10–20 hrs/week	Neutral	Confirm duties can be absorbed
FT Seller + management	-0.25x to -0.5x	Allow market replacement salary
Seller is GM / primary operator	-0.5x to -1.0x	Significant key-person reliance
Seller is primary technician / salesperson / relationship holder	-0.75x to -1.5x	Major transferability risk
Business effectively cannot operate without seller	May require PEBITDA/SDE rather than EBITDA	Often an owner-operator acquisition rather than investment

Industry and business type play an important role in determining the appropriate earnings multiple, as different sectors carry varying levels of risk, growth potential, recurring revenue, capital requirements, regulatory exposure and buyer demand. Businesses operating in industries with predictable or recurring revenues, strong barriers to entry and favourable market conditions will generally attract higher multiples than businesses exposed to greater earnings volatility, project-based revenue, significant working capital requirements or lower barriers to entry.

The following table provides indicative industry multiple ranges specifically for privately held Australian small-to-medium businesses, generally generating maintainable earnings of up to approximately \$2-3 million per annum. The ranges are intended to reflect typical privately owned SME business sale transactions and should not be compared directly with multiples reported for larger mid-market, private equity or listed-company transactions.

The Low range generally reflects businesses presenting higher levels of risk or reduced transferability, while the Common range represents the multiples ordinarily expected for a sound and reasonably transferable business within the relevant sector. The High range should generally be reserved for exceptional businesses demonstrating strong and sustainable earnings, established management, limited Seller dependence, recurring or contracted revenues, diversified customers and strong buyer demand.

Industry multiples should not be applied in isolation. They should be considered alongside the level of maintainable earnings, business size, management structure, Seller involvement, earnings consistency, growth, customer and supplier concentration, working capital and stock requirements, and other business-specific factors. The industry ranges therefore provide an additional reference point to assist in determining where a particular business should sit within the broader valuation framework, rather than acting as a standalone valuation methodology.

Industry / Business Type	Low	Common	High
Healthcare / Medical Groups	2.25x	2.75x - 3.5x	4.0x - 4.5x
Medical Practices	2.0x	2.5x - 3.25x	4.0x
Allied Health	2.0x	2.5x - 3.25x	4.0x
NDIS / Disability Services	2.0x	2.5x - 3.25x	4.0x
Aged / Community Care	2.25x	2.75x - 3.5x	4.0x - 4.5x
Childcare / Education	2.5x	3.0x - 3.75x	4.5x
Technology / SaaS	2.5x	3.0x - 3.75x	4.5x
Managed IT / MSP	2.25x	2.75x - 3.5x	4.0x
Financial Services	2.25x	2.75x - 3.5x	4.0x
Accounting / Bookkeeping	2.0x	2.5x - 3.25x	3.75x
Professional Services / Consulting	2.0x	2.5x - 3.25x	3.75x
Engineering / Technical Services	2.25x	2.75x - 3.5x	4.0x
Labour Hire / Recruitment	2.0x	2.5x - 3.25x	3.75x
Transport / Logistics	2.0x	2.5x - 3.25x	3.75x
Manufacturing	2.0x	2.5x - 3.25x	4.0x
Wholesale / Distribution	1.75x	2.25x - 3.0x	3.5x
Import / Distribution	1.75x	2.25x - 3.0x	3.5x
Civil / Infrastructure Services	2.0x	2.5x - 3.25x	4.0x

Electrical / Trade Services	1.75x	2.25x - 3.0x	3.5x
Construction / Building	1.5x	2.0x - 2.5x	3.0x
Property / Facilities Services	2.0x	2.5x - 3.25x	3.75x
Cleaning / Maintenance	1.75x	2.25x - 2.75x	3.25x
Automotive Services	1.5x	2.0x - 2.5x	3.0x
Retail	1.25x	1.75x - 2.25x	2.75x
eCommerce	1.75x	2.25x - 3.0x	3.75x
Food Manufacturing	2.0x	2.5x - 3.25x	3.75x
Hospitality - Café / Restaurant	1.0x	1.5x - 2.0x	2.5x
Hospitality - Established Venue / Group	1.5x	2.0x - 2.5x	3.0x
Accommodation / Tourism	1.75x	2.25x - 3.0x	3.5x

For further information regarding this valuation guide, or if you have any questions regarding the valuation of your business, please contact Matteo Melis, Business Broker at LINK Brisbane, on +61 433 719 112 or +61 7 3831 2300.

Matteo is available to discuss your business, provide further guidance on the valuation methodology and market multiples outlined in this document, and assist with understanding the factors that may influence the value and saleability of your business.



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